

Newcastle University Investment Fund

Ørsted A/S | XCSE: ORSTED

Fair Value: DKK 140.20 – (1.6% Downside)

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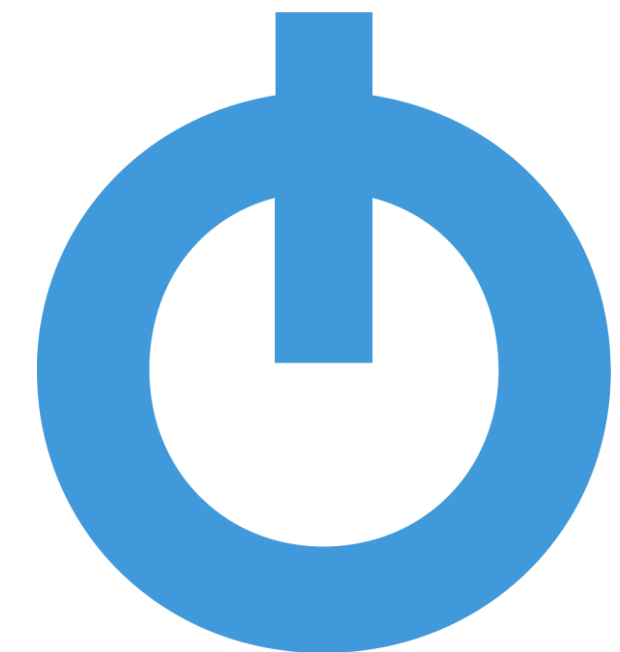
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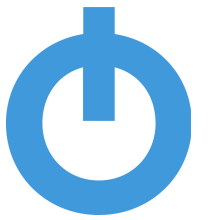
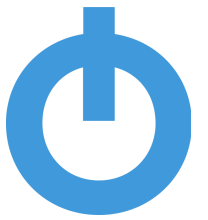


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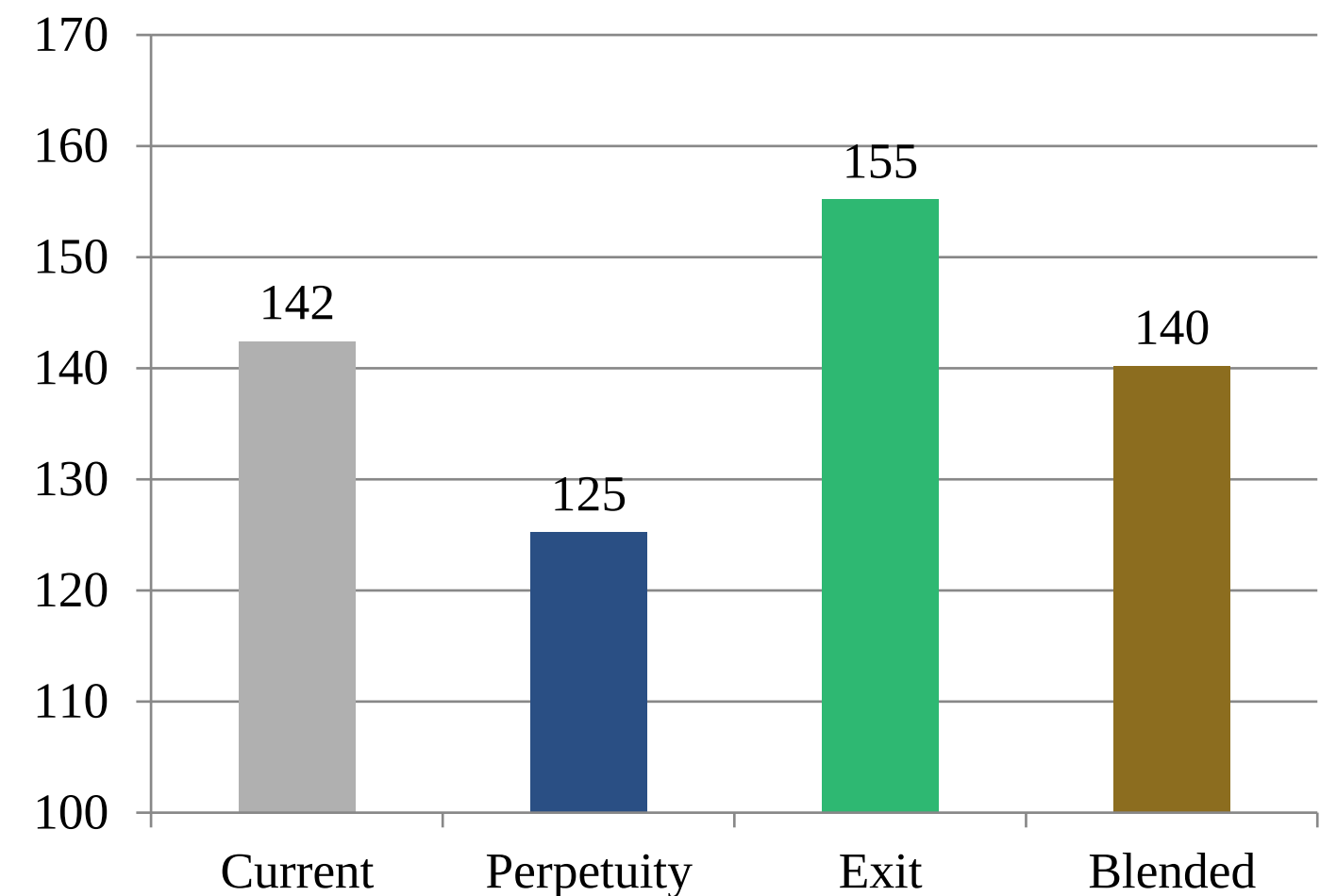
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Executive Summary

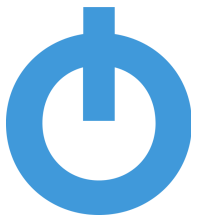


- Ørsted ended 2025 with DKK 73.2bn of revenue, DKK 22.4bn of EBITDA, DKK 23.7bn of operating cash flow and DKK 19.0bn of net debt after the rights issue and asset divestments.
- Management guides to >DKK 28bn EBITDA in 2026 and >DKK 32bn in 2027 (both excluding new partnerships and cancellation fees), supporting a visible earnings recovery path.
- Our DCF yields DKK 125/share on a perpetuity basis and DKK 155/share on an exit-multiple basis; the 50/50 blended fair value is DKK 140.2/share versus DKK 142.45 current price.
- Conclusion: the stock screens as fairly valued; upside requires cleaner execution, lower WACC, or stronger asset-rotation monetisation than in our base case.

Valuation output (DKK/share)



Company Overview



Capital-intensive offshore-wind leader with improving balance-sheet flexibility.

Business Snapshot

- Denmark-based renewable developer / operator with offshore wind as the core value driver.
- 2025 revenue: DKK 73.2bn; EBITDA: DKK 22.4bn; EBIT: DKK 8.6bn.
- Operating cash flow improved to DKK 23.7bn, but free cash flow remained negative at DKK (18.9)bn due to capex.
- Rights issue and divestments reduced year-end 2025 net debt to DKK 19.0bn from DKK 58.0bn in 2024.
- Management reiterated the intention to reinstate dividends from fiscal 2026.

2025 Actual Snapshot

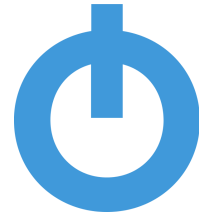
Revenue	73.2	CFO	23.7
EBITDA	22.4	FCF	(18.9)
EBIT	8.6	Net debt	19.0



Why the balance sheet matters now:

A cleaner balance sheet gives Ørsted time to monetise projects, finish Sunrise / Revolution, and let 2026–2030 free cash flow turn positive. That is the central bridge from depressed sentiment to intrinsic value.

Industry & Sector Overview



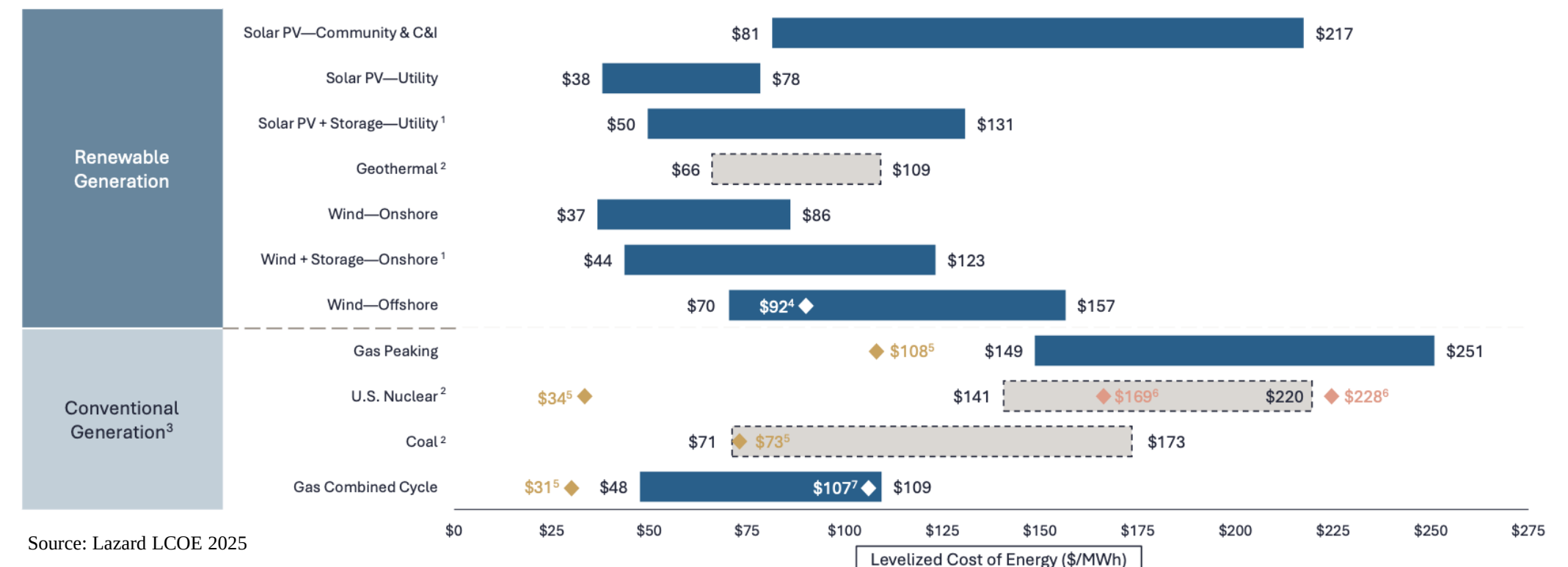
Global energy transition is accelerating renewable deployment, with offshore wind emerging as a key pillar of future electricity generation.

Sector Snapshot

- Ørsted operates within the global utilities and renewable energy sector, focused primarily on offshore wind development and generation.
- The global energy system is undergoing structural decarbonization as governments pursue net-zero emissions targets by 2050.
- Renewable energy is becoming increasingly cost-competitive as technology improves and economies of scale reduce generation costs.
- According to the Lazard Levelized Cost of Energy (LCOE) Report, the unsubsidized cost of utility-scale solar and wind has fallen ~80-90% since 2010, making renewables competitive with fossil fuel generation.
- Offshore wind capacity is expected to grow significantly, supported by government auctions, long-term power purchase agreements and large-scale infrastructure investment.
- However, the sector remains capital intensive and sensitive to interest rates, supply-chain inflation and regulatory and policy changes

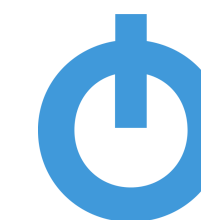
Levelized Cost of Energy Comparison—Version 18.0

Selected renewable energy generation technologies remain cost-competitive with conventional generation technologies under certain circumstances



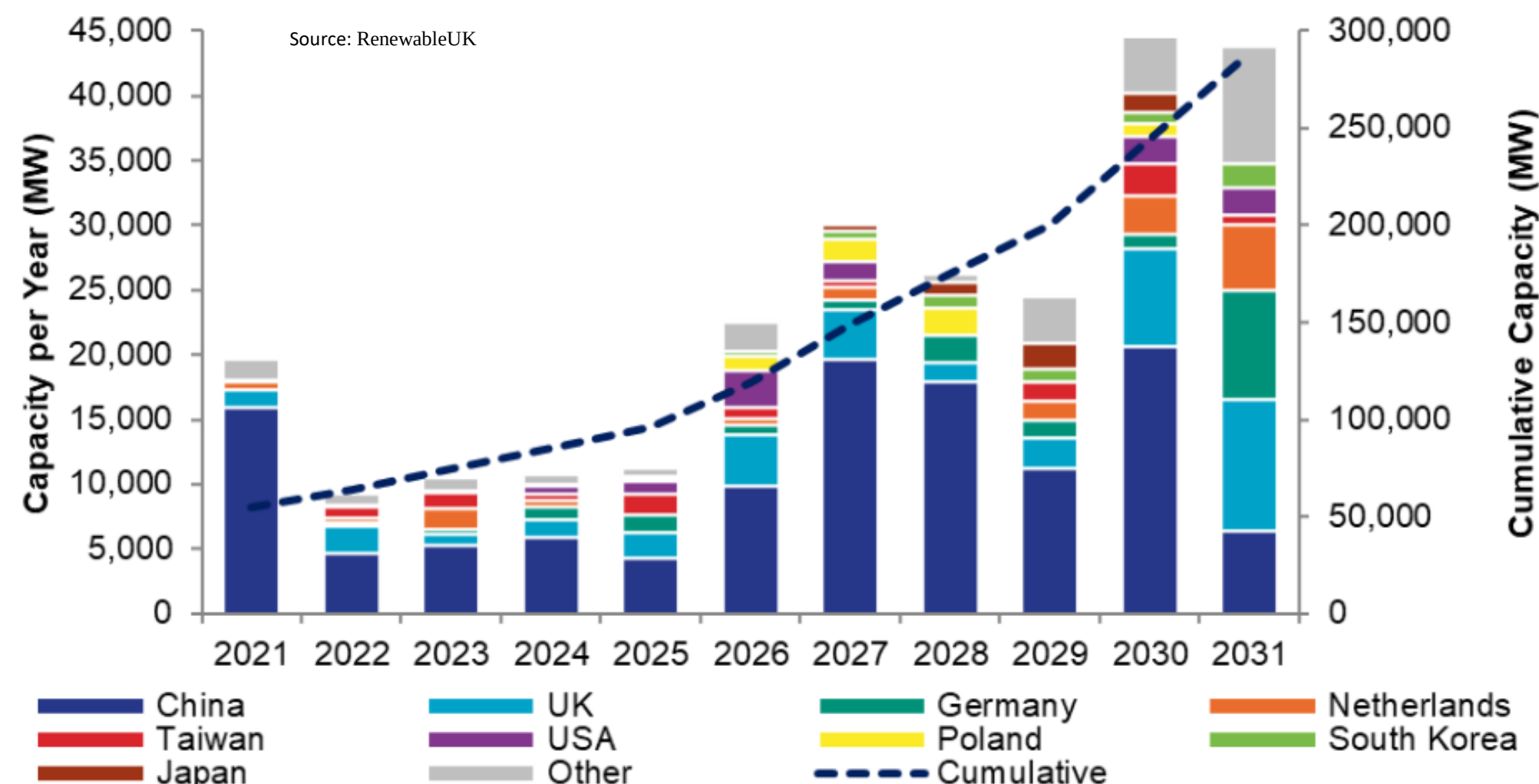
Falling LCOE demonstrates the increasing cost competitiveness of renewable generation relative to fossil fuels.

Industry & Sector Overview



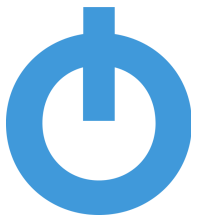
Industry Snapshot

- Offshore wind is one of the fastest-growing renewable technologies, benefiting from stronger and more consistent wind resources at sea.
- RenewableUK predicts that global offshore wind capacity is projected to increase from ~75GW in 2023 to ~300GW by 2035.
- Policy support varies significantly by region:
 - Europe – favourable policy environment
 - EU Green Deal and net-zero targets
 - Large auction programmes (UK, Germany, Netherlands)
 - China – favourable
 - Strong state-backed investment in offshore wind
 - Rapid expansion of domestic capacity
 - United States – increasing uncertainty
 - Recent pauses and regulatory reviews of offshore wind projects
 - Policy changes under the Donald Trump administration have raised uncertainty for developers
- As a result, large renewable developers are increasingly prioritizing markets with stable regulatory frameworks and long-term subsidy visibility.



Offshore wind capacity is expected to grow rapidly, led by China, Europe and emerging US markets.

Macroeconomic Factors



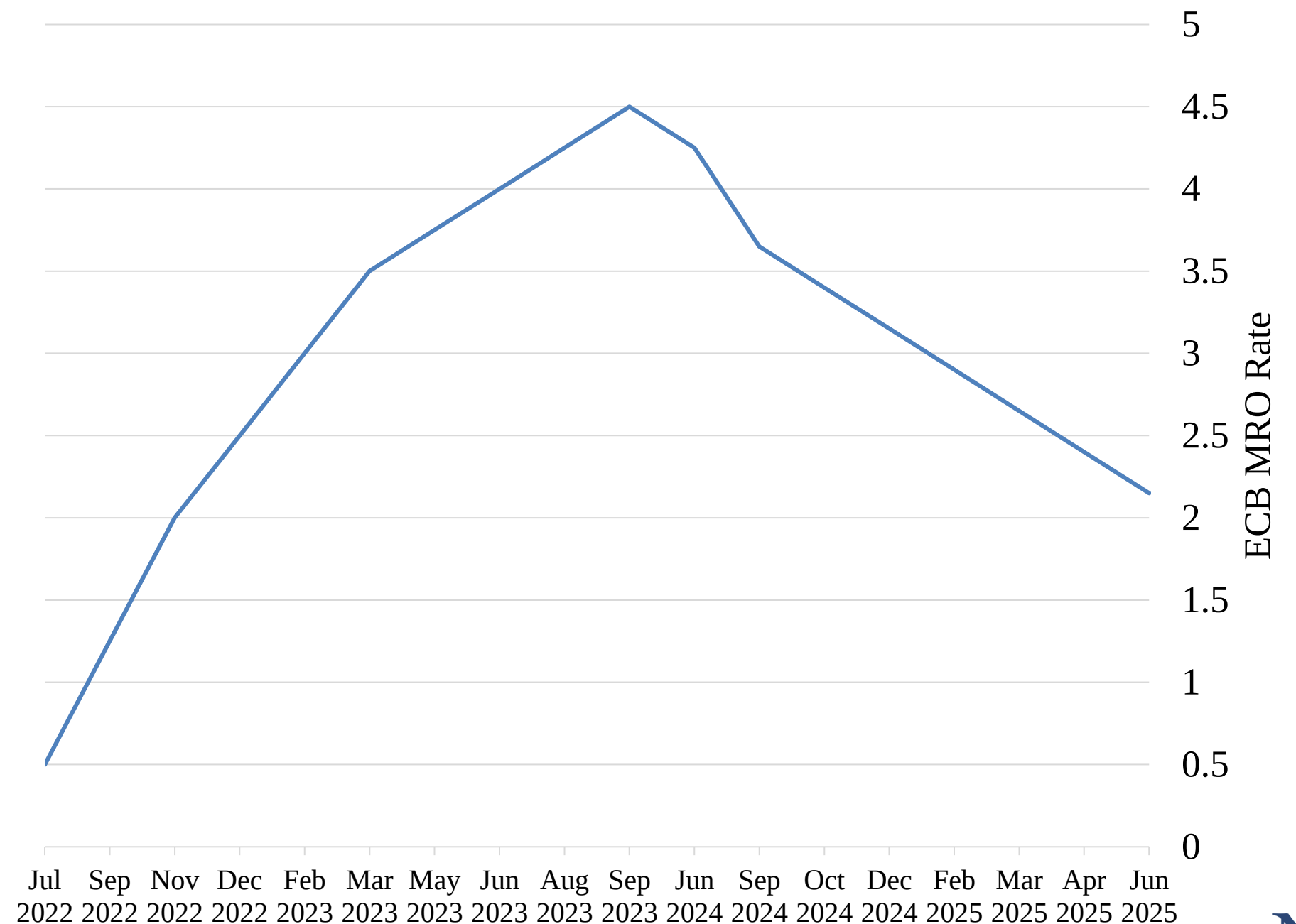
Interest Rates:

Eurozone interest rates remain elevated, with the ECB's main refinancing rate holding at 2.15% since June 2025. Whilst inflation has eased, the recent surges in energy prices linked to the U.S.–Iran conflict have reduced expectations of near-term rate cuts, keeping borrowing costs higher than in the pre-2022 period. For capital-intensive offshore wind developers like Ørsted, sustained higher rates increase financing costs for new projects and can put pressure on project returns.

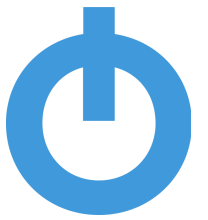
Inflation:

Eurozone inflation stands at around 1.9% as of February 2026, much closer to the 2% target than in previous years. Inflation is expected to remain near target, with predictions of a slight increase in the upcoming quarter to around 2.3% as energy prices persist at elevated levels. For Ørsted, moderate and predictable inflation is favourable, as it allows for more accurate project cost planning, though rising energy-driven inflation could increase material and labour costs for offshore wind projects.

ECB Main Refinancing Rate



Macroeconomic Factors

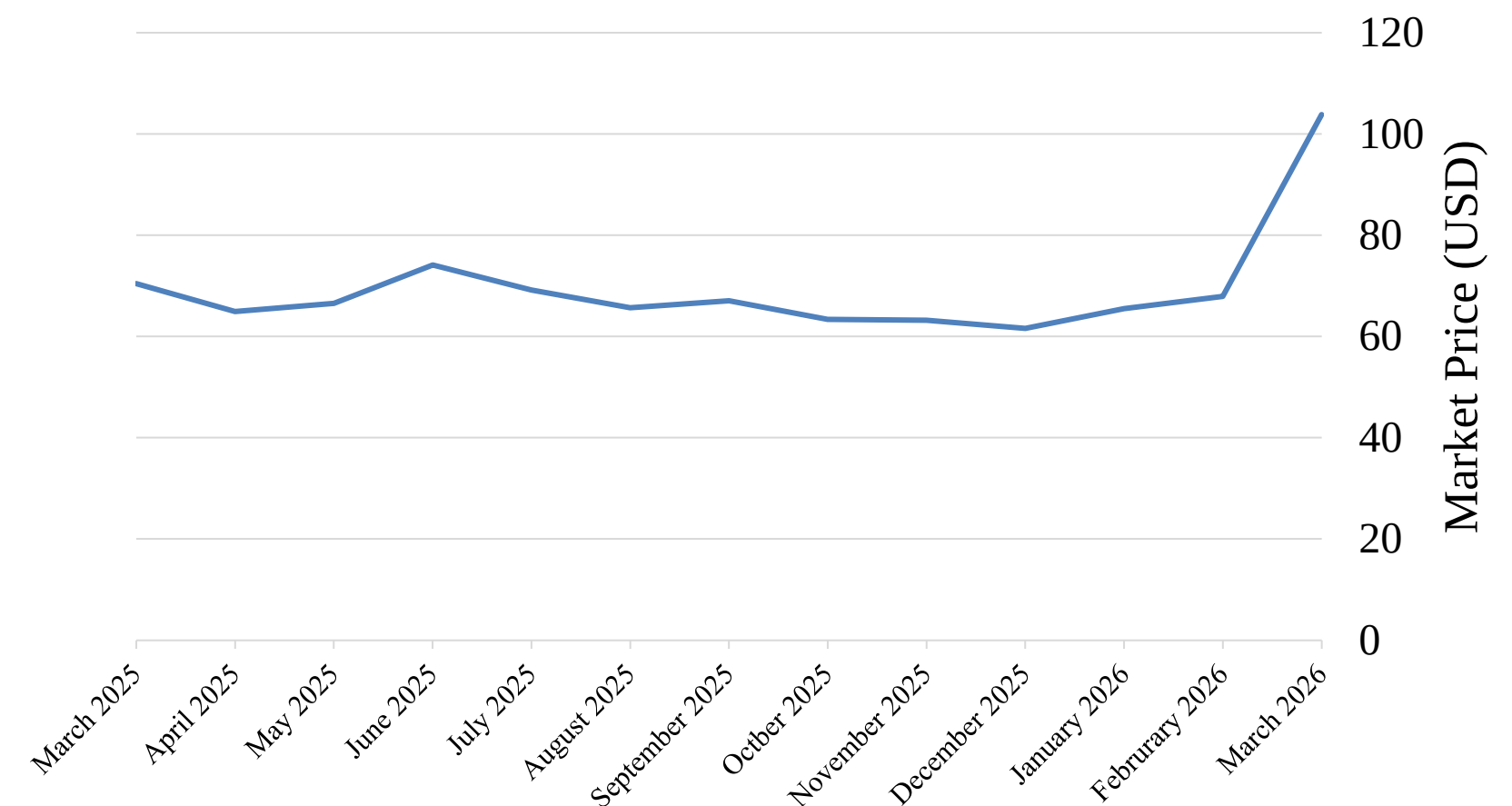


Geopolitical Risks:

Recent conflicts between the U.S., Israel, and Iran have contributed to spikes in oil and other commodity prices as markets price in supply-risk uncertainties, particularly around the Strait of Hormuz. Higher commodity prices particularly steel, copper, and aluminium increase CAPEX for Ørsted's offshore wind projects, putting upward pressure on project costs and potentially reducing project margins. These materials are critical for turbine foundations, towers, and cabling, so sustained price increases can affect both new developments and ongoing projects.

In addition, energy security concerns have brought decarbonisation back to the forefront, as Western Europe and China seek to reduce reliance on volatile fossil fuel imports. China's substantial imports of Iranian oil, often below benchmark prices, have helped keep Chinese manufacturing costs low. This renewed focus on reducing dependence on fossil fuels reinforces the case for investment in renewable energy and energy security, with the European Commission looking towards locally produced renewable and nuclear energy as part of the solution. As a result, demand for offshore wind and other renewable projects is expected to increase, which is directly beneficial to Ørsted, strengthening the company's growth prospects in Europe and globally.

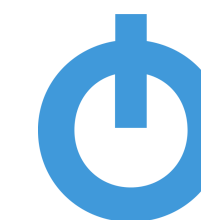
Brent Crude Oil Prices (USD)



Brent crude oil prices rose sharply following the escalation of tensions in the Middle East. After remaining relatively stable at around \$60–\$70 per barrel over the past year, prices briefly surged above \$100 per barrel as markets reacted to heightened geopolitical risk and potential supply disruptions in the Strait of Hormuz.

Source: Trading Economics/Reuters

Investment Case & Model Anchors



1. Earnings recovery is visible

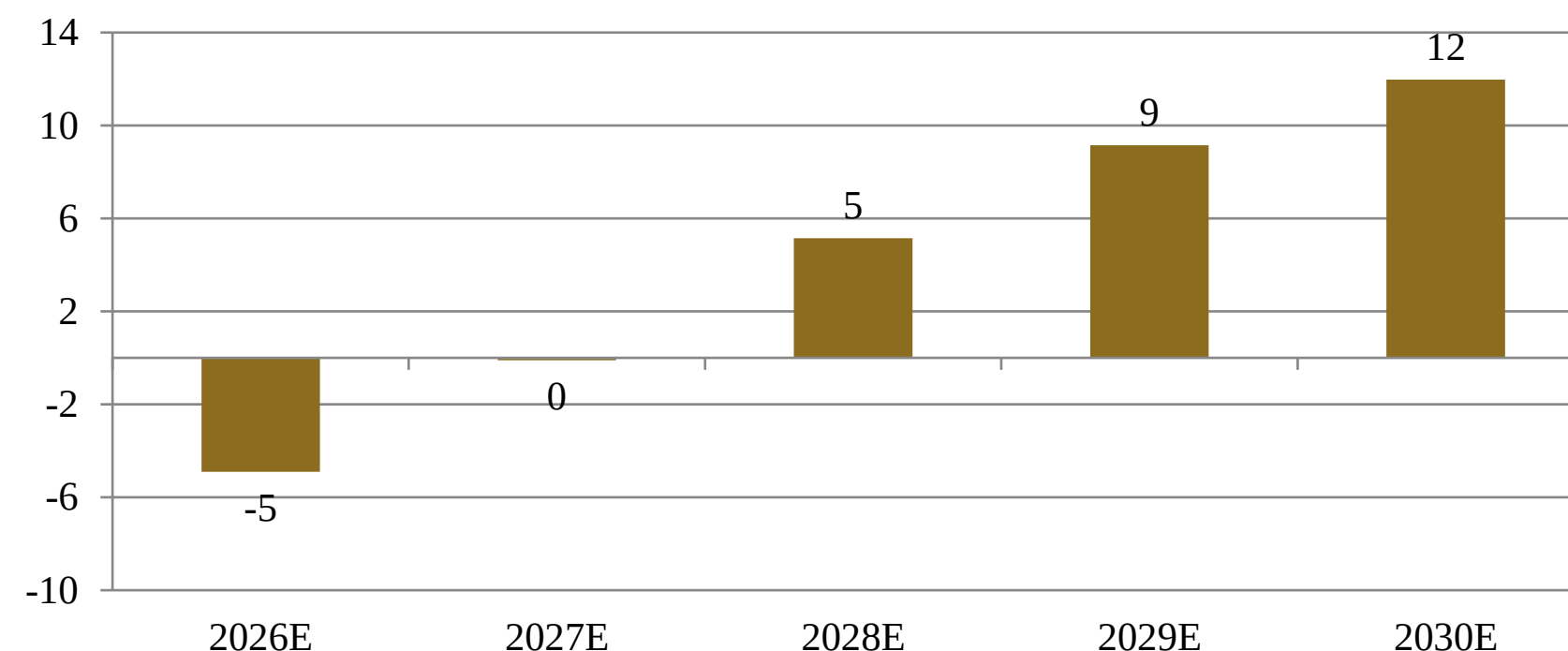
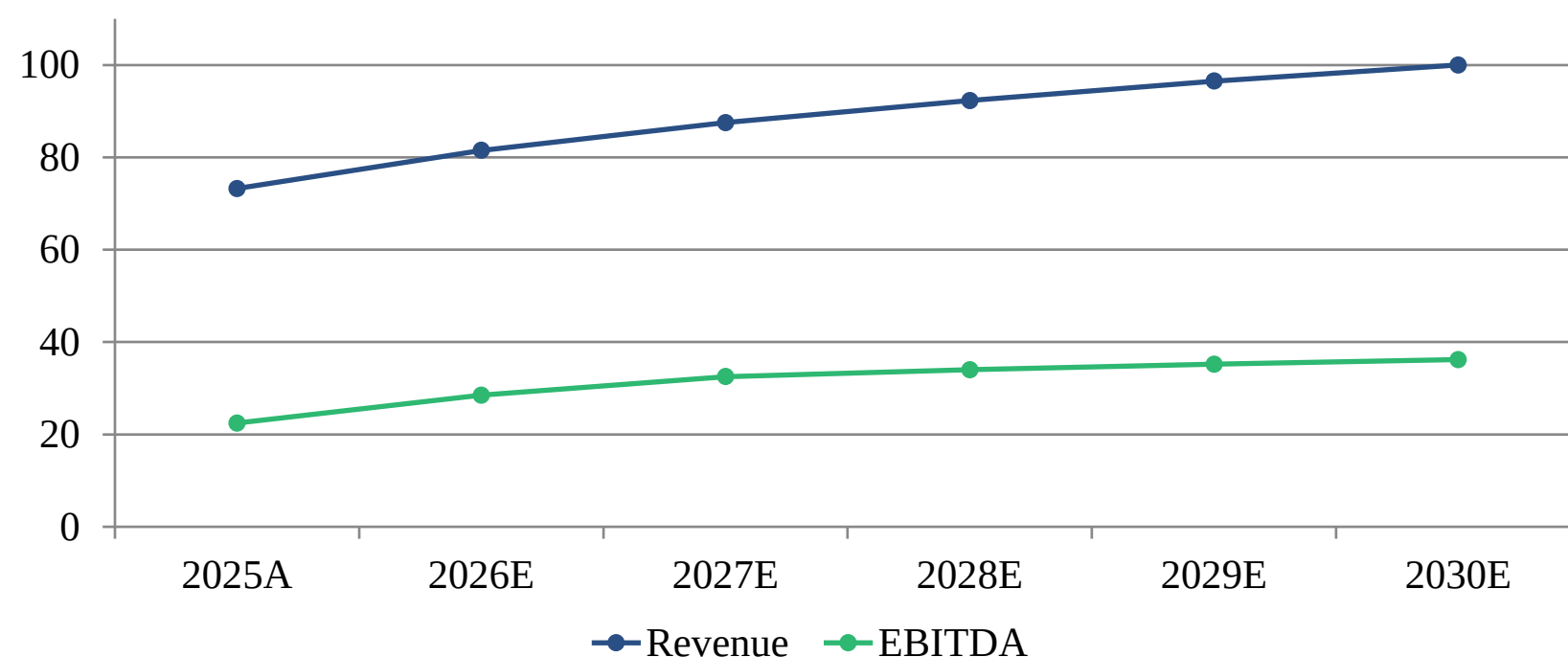
Base model is anchored to management guidance: >DKK 28bn EBITDA in 2026 and >DKK 32bn in 2027, with revenue reaching DKK 100bn by 2030.

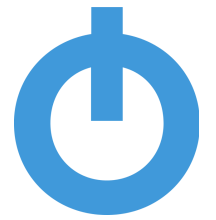
2. Deleveraging changed the debate

Rights issue proceeds and stake sales cut net debt to DKK 19bn. The debate has shifted from solvency pressure toward execution and cash conversion.

3. Value depends on capex normalisation

The model does not need heroic top-line assumptions. It mainly needs gross capex to step down after 2026 and asset rotation to continue.

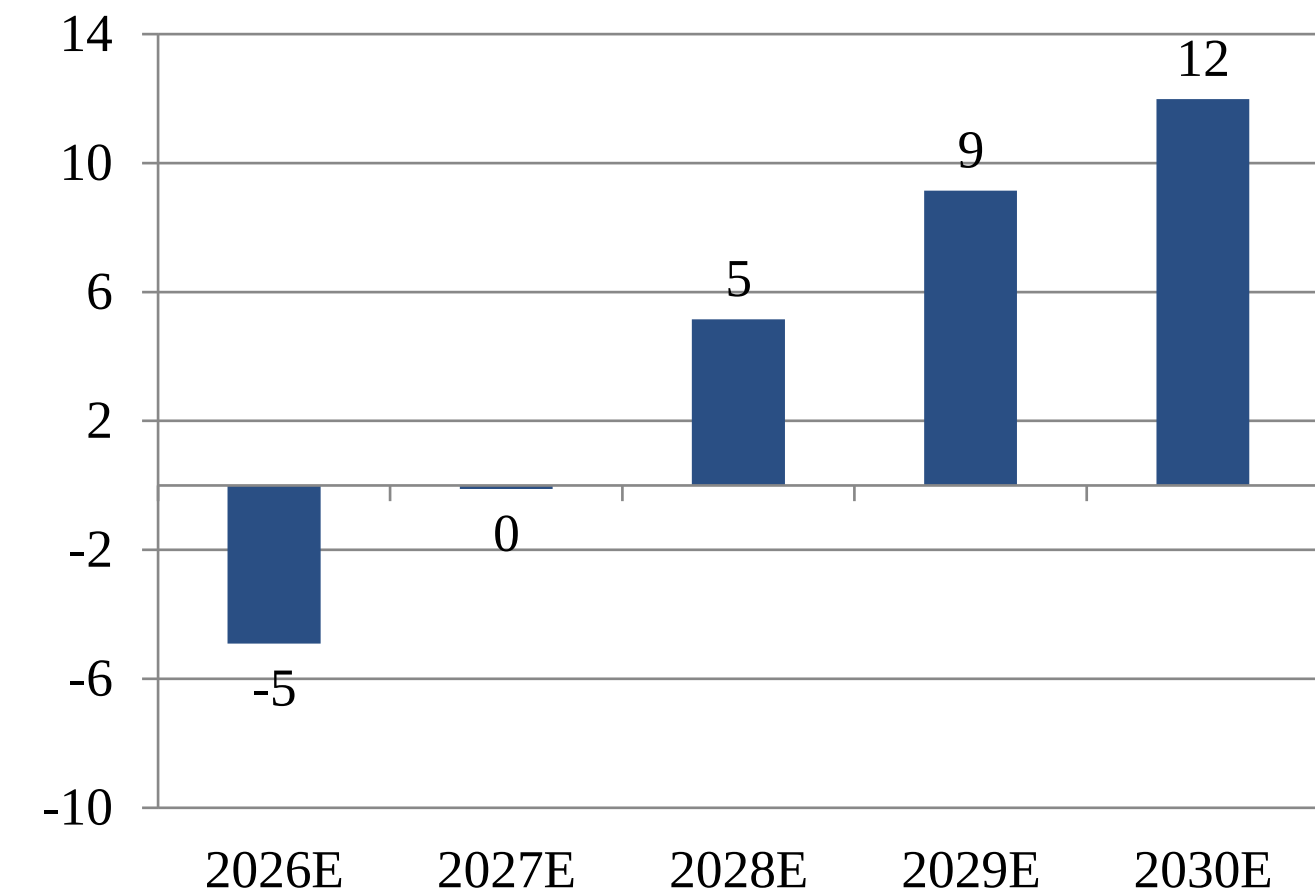




Discounted Cash Flow

$$FCFF = EBIT \times (1 - \text{tax}) + D\&A - \text{net capex} - \Delta NWC$$

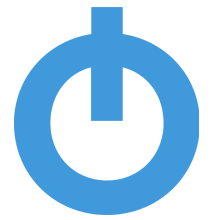
Metric	2026E	2027E	2028E	2029E	2030E
Revenue (DKKbn)	81.5	87.5	92.3	96.5	100.0
Growth	11.3%	7.4%	5.5%	4.6%	3.6%
EBITDA (DKKbn)	28.5	32.5	34.0	35.2	36.2
EBITDA margin	35.0%	37.1%	36.8%	36.5%	36.2%
EBIT (DKKbn)	17.0	20.4	21.6	22.6	23.4
Gross capex	52.5	38.0	32.0	28.0	25.0
Divestments	23.0	10.0	8.0	7.0	6.0
FCFF (DKKbn)	(4.9)	(0.1)	5.2	9.1	12.0



FCFF turns positive in 2028 as capex eases and asset rotation continues.

Base case assumes 2026 gross capex at the midpoint of management's DKK 50–55bn guidance and a 2% working-capital drag on revenue growth.

Valuation Summary & Sensitivity



WACC BUILD	
Risk-free rate	2.7%
Beta	0.73
ERP	5.75%
Cost of equity	6.9%
After-tax cost of debt	2.7%
Mechanical WACC	6.1%
Base WACC	6.5%

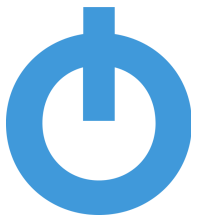
TERMINAL ASSUMPTIONS	
Perpetuity growth	2.0%
Exit EBITDA multiple	9.0x
Current price	142.45
Blended FV/share	140.20
Implied upside/(downside)	(1.6%)
Verdict	Fairly valued

Base case (6.5% WACC, 2.0% g) is intentionally more conservative than the pure mechanical build to reflect project, policy and merchant-power risk.

WACC	Perpetuity	Exit	Blended
5.5%	178.00	164.45	171.23
6.0%	148.29	159.75	154.02
6.5%	125.22	155.17	140.20
7.0%	106.81	150.72	128.76
7.5%	91.79	146.38	119.08

g\WACC	5.5%	6.0%	6.5%	7.0%	7.5%
1.5%	151.85	128.33	109.56	94.23	81.50
2.0%	178.00	148.29	125.22	106.81	91.79
2.5%	212.86	173.94	144.81	122.19	104.13

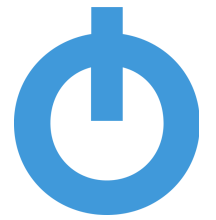
Key Risks & Model Breakers



Risk	Why it matters	Base-case mitigant
U.S. offshore policy / permitting	A stop-work order or renewed federal challenge can delay Sunrise / Revolution and damage 2026-2027 cash conversion.	Base case assumes no new major disruption beyond known uncertainty.
Merchant power-price exposure	Ørsted says around 10% of 2026-2030 revenue is exposed to power prices, with exposure rising as subsidies expire.	We use a 6.5% WACC and only 2.0% terminal growth.
Asset-rotation timing / valuation	Our model needs meaningful 2026 divestment proceeds; weaker buyer appetite hurts FCF and leverage.	2025-26 proceeds target and 2025 deal activity provide some evidence.
Capex / execution risk	If gross capex does not step down after 2026, FCFF inflection gets pushed out.	Model assumes explicit capex decline and does not underwrite heroic margin gains.
Cost of capital re-rating	A higher beta, wider ERP, or tighter credit spreads would cut fair value quickly.	Sensitivity shows blended value falls to DKK 119/share at 7.5% WACC.

Core message: the valuation is not broken by weak growth; it is broken by delayed cash conversion or a structurally higher discount rate.

Appendix



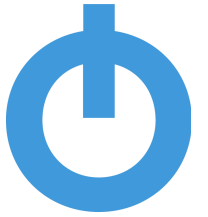
DCF Schedule

Explicit FCFF Profile						
Period	2026E	2027E	2028E	2029E	2030E	TV
FCFF	(4.9)	(0.1)	5.2	9.1	12.0	271.6
PV	(4.6)	(0.1)	4.3	7.1	8.7	198.2

Enterprise Value Bridge	
PV of explicit FCFF	15.4
PV of terminal value	198.2
Enterprise value	213.6
Less: claims	48.2
Equity value	165.4

Equity Value Per Share	
Perpetuity value/share	125.22
Exit value/share	155.17
Blended value/share	140.20
Current price/share	142.45
Premium / (discount)	(1.6%)

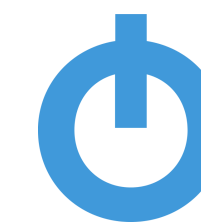
Core Assumptions	
Risk-free rate	2.73%
ERP	5.75%
Beta	0.73
Pre-tax CoD	3.4%
Tax rate	22%
Base WACC	6.5%
Terminal g	2.0%
Exit multiple	9.0x



References

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- Ørsted Q4 2025 Financial Data Workbook
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- Kroll: Recommended Eurozone Equity Risk Premium
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- Trading Economics: Euro Area Inflation Rate
- Trading Economics: Brent Crude Oil Prices
- Reuters: Inflation Threats to ECB rates
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